DE–3829 **11**

DISTANCE EDUCATION

M.Com. (F & C) DEGREE EXAMINATION, MAY 2012.

MANAGEMENT CONCEPTS

(2005 onwards)

Time : Three hours Maximum : 100 marks

SECTION A — (5 × 8 = 40 marks)

Answer any FIVE questions.

All questions carry equal marks.

1. Explain the concept of 'Management by objective'.

2. What are the characteristics of managerial planning?

3. Bring out the benefits of decentralization.

4. Briefly explain the principles of delegation of authority.

5. What do you understand by staffing? Indicate the steps that a manager should take in performing this function.

6. Define communication. State the importance of communication.

7. What are components of formal organization?

8. Discuss the requisites of a good control system.

SECTION B — (4 × 15 = 60 marks)

Answer any FOUR questions.

All questions carry equal marks.

9. Describe and evaluate Henri Fayol's contribution to the management theory.

10. What do you mean by selection for employment? Outline a suitable selection process for a large business organization.

11. Discuss different incentive plans and their impact on workmen.

12. Explain clearly the essential steps in control process.

13. State the principles and process of effective delegation. What are the factors determining the delegation of authority?

14. What is leadership? State the difference between informal and formal leaders.

15. Describe role of the PERT and CPM in control function.

DISTANCE EDUCATION

M.Com. (F & C) DEGREE EXAMINATION, MAY 2012.

FINANCIAL ACCOUNTING AND ANALYSIS

(2005 onwards)

Time : Three hours Maximum : 100 marks

SECTION A — (5 × 8 = 40 marks)

Answer any FIVE of the following.

All questions carry equal marks.

1. Define accounting. Explain its objectives.

2. What is petty cash book? What are its advantages?

3. Explain the law relating to the calculation of managerial remunaration.

4. What is common-sized balance sheet? Explain the techniques of preparing common-sized balance sheet.

5. Define Human resource accounting and state its objectives.

6. Niveditha maintains a two column cash book which she balances every week.

2008 March		Rs.
25	Her cash book showed balance of	6,900
26	Paid cash to Kailash	1,428
	Discount received	72
29	Paid salaries	5,025

2008 March		Rs.
30	Cash sales	11,370
	Withdrew cash for private expenses	1,020
31	Received as compensation from railway authority	4,380
	Received cash from Shanthi lal	3,975
	Allowed him discount	75

Prepare the double entry system.

7. The capital of X Co., is as follows :

	Rs.
9% preference shares of Rs. 10 each	6,00,000
Equity shares Rs. 10 each	16,00,000
	22,00,000

The accountant has ascertained the following information:

Profit after tax @ 50%	Rs. 5,40,000
Depreciation	Rs. 1,20,000
Equity dividend paid	20%
Market price of equity share	Rs. 40

You are required to state the following, showing the necessary working :

(a) The dividend yield on equity shares

(b) The cover for the preference and equity dividends

(c) The earning per share

(d) The price earnings ratio

(e) The net cash flow.

8. A Company's reported current profit of Rs. 90,000 after incorporating the following :

Particulars	Rs.
Profit on sale of non-current assets	50,000
Profit on revaluation of investments	3,000
Dividend income on investments	5,000
Loss on sale of equipment	11,000
Premium on redemption of debentures	2,000
Discount on issue of debentures	2,500
Depreciation on machinery	25,000
Depletion of natural resources	11,500
Amortization of goodwill	25,000
Interim dividend	12,500
Excess provision of taxation	21,000
Transfer to general reserve	6,000
Preliminary expenses written off	1,500

You are required to calculate the new inflow of funds from operations.

SECTION B — (4 × 15 = 60 marks)

Answer any FOUR of the following.

All questions carry equal marks.

9. Distinguish between 'Trial balance' and 'Balance sheet'.

10. Explain the characteristics of accounting concepts and conventions.

11. Explain and illustrate the trend analysis method of financial statements.

12. The following balances were extracted from the books of E. Chandra Ltd for the year ended March 31, 2008.

Particulars	Rs.
Buildings	6,00,000
Furniture	60,000
Motor vehicles	60,000
Equity shares of companies	4,00,000
Stock in trade at cost	4,00,000
Sundry debtors, unsecured considered good	2,80,000
Cash at bank	1,72,000
Advance against construction of building	1,30,000
Share capital :	
10,000 equity shares of Rs. 100 each	10,00,000
Sundry creditors	3,50,000
P & L A/c (credit)	20,000
Gross profit	10,00,000
Dividend received on investments	10,000
Salaries and wages	2,20,000
Directors fees	8,000
Electricity charges	25,000
Rates, taxes and insurance	10,000
Auditors' fees	15,000

Prepare the profit and loss account of the company for the year ended December 31, 2008 and the balance sheet as on that date after the following adjustments.

(a) Provide 10% depreciation per annum.

(b) Stock has been revalued at Rs. 3,60,000. This has not yet been considered.

(c) Debts more than 6 months are Rs. 80,000.

(d) Ignore tax provision.

13. From the following particulars, prepare the balance sheet of Shri. Mohan Ram :

Current ratio	2
Working capital	Rs. 4,00,000
Capital block to current assets	3:2
Fixed assets to turnover	1:3
Sales cash/credit	1:2
Stock velocity	2 months
Creditors' velocity	2 months
Debtors' velocity	3 months
Capital block net profit	10% of turnover
Reserve	2.5% of turnover
Debentures/Share capital	1:2
Gross profit ratio	25% (to sales)

14. The balance sheets of X Ltd., as at 31st March 2008 and 2009 are given below:

Liabilities	2005	2006	Assets	2005	2006
	Rs.	Rs.		Rs.	Rs.
Share capital	4,00,000	5,00,000	Fixed assets at cost	10,00,000	10,00,000
Capital reserves	–	20,000	Less : Depreciation	2,60,000	3,10,000
General reserve	1,80,000	2,10,000		7,40,000	6,90,000
Profit & loss a/c	70,000	90,000	Trade investments	1,10,000	90,000
Debentures	3,00,000	2,00,000	Current assets	3,20,000	4,50,000
Current liabilities	1,30,000	1,20,000	Preliminary expenses	30,000	20,000
Provision for income tax	80,000	60,000			
Proposed dividend	40,000	50,000			
	12,00,000	12,50,000		12,00,000	12,50,000

During the year ended 31st March 2009 the company.

(a) Sold one machine for Rs. 40,000, the cost of which was Rs. 80,000 and the depreciation provided on it was Rs. 30,000.

(b) Provided Rs. 1,00,000 as depreciation.

(c) Redeemed the debenture at Rs. 105.

(d) Sold some trade investments at a profit which was credited to capital reserve.

(e) Decided to write off fixed assets (fully depreciate) costing Rs. 20,000.

(f) Decided to value opening stock at cost which was valued previously at cost less 10%. The opening stock according to book was Rs. 63,000, the closing stock was correctly valued at cost.

Prepare the statement of sources and application of funds for the year ended 31st March 2009, showing the changes in the working capital. (All working notes are to form part of year answer).

15. Make a critical appraisal of the CPP method and CCA method of accounting for inflation.

DE–3831 **13**

DISTANCE EDUCATION

M.Com. (F & C) DEGREE EXAMINATION, MAY 2012.

COST AND MANAGEMENT ACCOUNTING

(2005 onwards)

Time : Three hours Maximum : 100 marks

SECTION A — (5 × 8 = 40 marks)

Answer any FIVE questions.

All questions carry equal marks.

1. What is Cost Accounting? State briefly the scope of Cost Accounting.

2. Enumerate the advantages and disadvantages of a centralized stores system.

3. What is the difference between allocation and apportionment of overhead?

4. What are the main features of job order costing? State the advantages and weaknesses of job order cost accounting.

5. "Management accounting aims at providing financial results of the business to the management for taking decisions". Explain by bringing out advantages of management accounting.

6. Explain the various types of budgets.

7. What is a break-even chart? What are its uses and limitations? Explain how you would locate the break-even point on the chart.

8. Explain the different methods of evaluating the capital investment.

SECTION B — (4 × 15 = 60 marks)

Answer any FOUR questions.

All questions carry equal marks.

9. Following information has been obtained from the records of a manufacturing company :

Particular	1-4-2009	31-3-2010
	Rs.	Rs.
Stock of Raw Material	40,000	50,000
Stock of Finished Goods	1,00,000	1,50,000
Stock of Work-in-Progress	10,000	14.000

	Rs.
Indirect Labour	50,000
Lubricants	10,000
Insurance on plant	3,000
Purchase of raw material	4,00,000
Sales commission	60,000
Salaries of salesmen	1,00,000
Carriage outward	20,000
Administration expenses	1,00,000
Power	30,000

	Rs.
Direct Labour	3,00,000
Depreciation on Machinery	50,000
Factory Rent	60,000
Property tax on factory building	11,000
Sales	12,00,000

Prepare a statement of cost and profit showing (a) cost of Raw Material consumed; (b) Prime cost (c) Manufacturing cost (d) Cost of production (e) Cost of goods sold (f) Cost of sales and (g) Profit.

10. Two components A and B are used as follows :

Normal usage	50 units per week each	
Minimum usage	25 units per week each	
Maximum usage	75 units per week each	
Re-order quantity	A :	300 units
	B :	500 units
Re-order period	A :	4 to 6 weeks
	B :	2 to 4 weeks

Calculate Maximum, Minimum, and Reorder level for each component.

11. A factory consists of three Production Departments viz., Turning, Milling and Grinding. Though maintenance is done by the departments, the factory keeps four service departments too viz., Stores, Planning, Canteen and Time Office. For the month of November 2009, the direct departmental expenses were recorded as follows.

Turning	Rs. 72,000
Milling	Rs. 84,000
Grinding	Rs. 1,08,000
Stores	Rs. 36,000
Planning	Rs. 60,000
Canteen	Rs. 48,000
Time Office	Rs. 12,000

The expenses of Stores are to be distributed on a percentage basis, viz., 20%, 40%, 40% to Turning, Milling and Grinding respectively. The expenses of planning are to be apportioned on the basis of Machine Hours worked and those of Canteen and Time Office according to number of men employed in Production Departments.

Men employed	*No. of hours worked*	
22	10,000	Turning
32	15,000	Milling
46	25,000	Grinding

Prepare a statement showing the distribution of the Service Department's Expenses to the Production Departments and also determine the final absorption rate.

12. From the following information given by a manufacturing company, which manufactures a product, you are required to prepare process accounts.

Particular	Process I	Process II	Process III
	Rs.	Rs.	Rs.
Direct Material	30,000	7,500	7,500
Direct Wages	22,500	15,000	15,000
Stock closing	7,500	8,750	21,300

Finished goods was sold for Rs. 1,30,000, value of closing finished stock Rs. 5,612. It is the policy of the company to charge 20% on transfer price or 25% on cost price while transferring the goods from I process to II and 20% on cost price from II to III to the finished stock.

13. Calculate the average rate of return for projects A and B from the following :

	Project A	Project B
Investments	Rs. 20,000	Rs. 30,000
Expected Life (no salvage vaue)	4 years	5 years

Projected Net Income (after interest, depreciation and taxes)

Years	Project A Rs.	Project B Rs.
1	2,000	3,000
2	1,500	3,000
3	1,500	2,000
4	1,000	1,000
5	–	1,000
	6,000	10,000

If the required rate of return is 12 %, which project should be undertaken?

14. "Marginal Costs are primarily used in guiding decisions yet to be made". Explain the statement giving examples.

15.

Material	Standard			Actual		
	Qty. Kg.	Price Rs.	Total Rs.	Qty. Kg.	Price Rs.	Total Rs.
A	500	6.00	3,000	400	6.00	2,400
B	400	3.75	1,500	500	3.60	1,800
C	300	3.00	900	400	2.80	1,120
	1,200			1,300		
Loss (10% Normal)	120			220		
	1,080		5,400	1,080		5,320

Calculate material variances.

DE–3832 **14**

DISTANCE EDUCATION

M.Com. (F & C) DEGREE EXAMINATION, MAY 2012.

QUANTITATIVE TECHNIQUES

(2005 onwards)

Time : Three hours Maximum : 100 marks

SECTION A — (5 × 8 = 40 marks)
Answer any FIVE questions.
All questions carry equal marks.

1. Explain briefly the sources of data.

2. State the importance of probability.

3. What is Poisson distribution? And also explain its characteristics.

4. What is Skewness? and state the uses of Skewness.

5. Calculate mean, median for the following data.

Size :	0–10	10–20	20–30	30–40	40–50	50–60	60–70
Frequencies	7	12	18	25	16	14	8

6. Calculate standard deviation for the following data :

Marks :	0–10	10–20	20–30	30–40
No. of Students :	5	12	30	45
Marks :	40–50	50–60	60–70	
No. of Students :	50	37	21	

7. Find the co-efficient of correlation.

x :	28	36	45	80	75	67	90
y :	10	13	28	30	45	60	15

8. The mean and standard deviation for the lifetime of a population of light bulbs are 1200 and 150 hours respectively. Assuming these lifetimes are normally distributed, what is the probability that a light bulb will last over 1500 hours.

SECTION B — ($4 \times 15 = 60$ marks)

Answer any FOUR questions.

All questions carry equal marks.

9. The mean life of sample of 10 electric bulbs was found to be 1456 hours with standard deviation of 423 hours. A second sample of 17 bulbs chosen from a different batch showed a mean life of 1280 hours, with a standard deviation of 398 hours. Is there a significant difference between the means of two batches?

10. What is primary data? And also explain the method of collection of primary data.

11. Explain hypothesis and also its procedure for testing the hypothesis.

12. Find the regression equations.

x :	2	4	5	7	10	12	15
y :	10	12	15	8	10	16	20

(a) Estimate x when $y = 25$

(b) Find co-efficient of correlation.

13. Calculate the mean, median and mode from the following data :

Sales (Rs.)	0-100	100–200	200–300	300–400	400–500	500–600
No. of days :	60	20	30	45	75	40
Sales (Rs.)	600–700	700–800	800–900	900–1000		
No. of days :	35	30	18	12		

14. Explain in detail the salient features of Binomial and Normal distribution and also state 'its' application.

15. Calculate Karl Pearson's co-efficient of Skewness from the following table.

Wages (Rs.) :	70–80	80–90	90–100	100–110
No. of persons :	12	18	35	42
Wages (Rs.) :	110–120	120–130	130–140	140–150
No. of persons :	50	45	20	8

DE–3833 **15**

DISTANCE EDUCATION

M.Com. (F&C) DEGREE EXAMINATION, MAY 2012.

BUSINESS LAW

(2005 onwards)

Time : Three hours Maximum : 100 marks

SECTION A — (5 × 8 = 40 marks)

Answer any FIVE questions.

All questions carry equal marks.

1. Define Contract. What are the essentials of a valid contract?

2. When will a pledge made by a non-owner of goods becomes valid?

3. Distinguish between sale and agreement to sell.

4. Define Indorsement. What are its effect and how can it be cancelled?

5. Discuss in brief the important types of life insurance policies.

6. What are the implied warranties in a charter party?

7. What is an air consignment note? Who prepares it? What are its content?

8. Write short notes on:

   (a) Fictitious Bill

   (b) Inchoate Instrument

   (c) Escrow

   (d) Ambiguous Instrument.

SECTION B — (4 × 15 = 60 marks)

Answer any FOUR questions.

All questions carry equal marks.

9. What do you understand by void agreement? What are the various agreement which have been expressly declared to be void by the Indian contract act?

10. "The position of a finder of goods is exactly that of a bailee in the case of a deposit". Comment and discuss.

11. Explain the doctrine of caveat emptor with its exceptions.

12. What are the various modes of discharge from liability of parties to a Negotiable Instrument?

13. Explain the various fundamental principles of insurance.

14. State the rights and liabilities of a common carrier.

15. "A wagering agreement is void and unenforceable, but it is not forbidden by law". Critically examine the statement with suitable examples.

DE–3834 **21**

DISTANCE EDUCATION

M.Com.(F&C) DEGREE EXAMINATION, MAY 2012.

FINANCIAL MANAGEMENT AND CONTROL

(2005 Onwards)

Time : Three hours Maximum : 100 marks

SECTION A — (5 × 8 = 40 marks)

Answer any FIVE questions.

All questions carry equal marks.

1. What is the need for financial management?

2. State in brief the significance of convertible issues and right issues.

3. Write notes on working capital.

4. What do you understand by capital structure of a firm?

5. Briefly explain the concepts 'explicit cost' and 'real cost of capital'.

6. What is cash management? What are the objectives of cash management?

7. "Efficient inventory management is reflected in the liquidity and profitability of the firm". Explain.

8. What is meant by leasing? State its merits and demerits.

SECTION B — (4 × 15 = 60 marks)

Answer any FOUR questions.

All questions carry equal marks.

9. Distinguish between wealth maximisation and profit maximization. Explain briefly the various types of financial management decisions.

10. Explain the meaning and scope of public deposits. What are its advantages and limitations?

11. Discuss the major recommendations of Tandon Committee and Chore Committee Reports.

12. A company raised preference share capital of Rs.1, 00,000 by issue of 10% preference share of Rs.10 each. Compute the cost of preference capital when they are issued.

    (a) At 10% premium and

    (b) At 10% discount.

13. XY Ltd. is an established company and having a paid-up share capital of Rs.40 lakhs on Rs.10 each and having its shares quoted in the major stock exchanges. Its current market price per share after dividend distribution at the rate of 20% is Rs.30 per annum. Annual growth rate in dividend expected is 4%. The expected rate of return on its equity capital is 15%. Compute the value of XY Ltd's share based on dividend growth model, and state whether you recommend a buy.

14. What is receivable management? What are its importance and objectives?

15. Leasing finance has proved its unique adaptability to various financial problems. Discuss its merits as compared to other methods of financing.

DE–3835 **22**

DISTANCE EDUCATION

M.Com. (F & C) DEGREE EXAMINATION, MAY 2012.

INVESTMENT ANALYSIS AND PORTFOLIO MANAGEMENT

(2005 onwards)

Time : Three hours Maximum : 100 marks

SECTION A — (5 × 8 = 40 marks)

Answer any FIVE questions.

All questions carry equal marks.

1. What are the avenues of investments?

2. Define portfolio management. Give the steps in portfolio construction.

3. Define risk. How is the risk of an individual security measured?

4. Explain the P/E model of equity valuation.

5. State the basics of economic analysis.

6. What is meant by efficient frontier?

7. What is SML? How is different from CML?

8. How is a portfolio's performance measured under Trynor method?

SECTION B — (4 × 15 = 60 marks)

Answer any FOUR questions.

All questions carry equal marks.

9. Explain the concept of portfolio and how it aids in attaining investment objectives.

10. 'Portfolio risk is not equal to the weighted average of the individual securities risk'. Do you agree? Explain the added factor intervening in measuring portfolio risk.

11. What is the basic valuation model? Explain how a perpetual debt and a period debt security are valued.

12. What is meant by technical analysis? Detail three each of charts and techniques.

13. Explain in detail Sharpe's portfolio choice theory.

14. Discuss in detail the EMH.

15. Elaborate on the rationale and effectiveness of formula plans. Does it really work? Illustrate.

DISTANCE EDUCATION

M.Com (F & C) DEGREE EXAMINATION, MAY 2012.

FINANCIAL SERVICES AND INSTITUTIONS

(2005 onwards)

Time : Three hours Maximum : 100 marks

SECTION A — (5 × 8 = 40 marks)

Answer any FIVE of the following.

All questions carry equal marks.

1. Define private placement, public issue, book building and underwriting.

2. Give note on Money market mutual funds. What are its features?

3. Write short note on Gilt Funds, Index Funds, Income Funds Sectorial Funds and Debt Funds.

4. What are the benefits and limitations of the Credit rating?

5. Trace the origin of credit rating in the international and Indian context.

6. Define stock Exchange and Commodity Exchange. Distinguish between a stock Exchange and Commodity Exchange.

7. What are the deficiencies in a financial services in a developing a country?

8. Explain the various steps involved in trading in a Stock Exchange.

SECTION B — ($4 \times 15 = 60$ marks)

Answer any FOUR questions.

All question carry equal marks.

9. What is underwriting? What are the types and functions of underwriting? State the guidelines issued by SEBI with regard to the underwriting business in India.

10. What is an AMC? What are its functions? Explain the working mechanism of an AMC.

11. What are rating symbols? What do they connote? Give a brief account of the rating symbols of the leading credit rating agency in India.

12. Explain the role and functions of the BSE and NSE.

13. Elucidate the economic roles and functions of the IDBI, IFCI and ICICI.

14. What is UTI? What are the functions of the UTI? Explain the SEBI guidelines regarding UTI.

15. Briefly explain the SEBI.

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DISTANCE EDUCATION

M.Com. (F & C) DEGREE EXAMINATION, MAY 2012.

GLOBAL FINANCIAL MANAGEMENT

(2005 onwards)

Time : Three hours Maximum : 100 marks

SECTION A — (5 × 8 = 40 marks)
Answer any FIVE of the following.
All questions carry equal marks.

1. Explain the features and functions of the IFC.
2. What is Global Finance? Explains its scope and types.
3. Define Multinational Debt instruments. Briefly point out its types.
4. Distinguish between GDRS and ADRS.
5. What do you understand by FPI? Explain guidelines on FPI in India.
6. Explain CAPM with example.
7. Define credit management. State the features of credit management.
8. What is meant by foreign Exchange market? What are their characteristics?

SECTION B — (4 × 15 = 60 marks)
Answer any FOUR questions.
All questions carry equal marks.

9. Explain the function and features of IDA and IMF.
10. Briefly write a note on :
    (a) Detachable warrant bonds.
    (b) Deep discount and Euro bonds.

(c) Short term capital notes.

(d) Euro notes.

(e) Note issuance Facilities (MIF).

11. Explain with example why investing in framing stocks and bonds provides a better risk–return trade - offs than investing in either foreign stocks or bonds alone.

12. Identify the inventory management problems faced by MNCS and the techniques that they can use to deal with these problems.

13. Explain how forward contract can be used to reduce currency risk. List out the major users of forward contract and describe their motives.

14. Briefly explain purchasing power parity theory and interest rate parity theory.

15. What do you understand by multilateral finance institution? Describe its functions and features.

DE–3838 **25**

DISTANCE EDUCATION

M.Com. (F & C) DEGREE EXAMINATION, MAY 2012.

TAXATION AND TAX PLANNING

(2005 onwards)

Time : Three hours Maximum : 100 marks

SECTION A — (5 × 8 = 40 marks)

Answer any FIVE questions.

All questions carry equal marks.

1. What is meant by Tax evasion? Distinguish it from Tax avoidance.

2. State and explain the various allowances generally paid to employees.

3. How will you compute income from let out house property?

4. Explain long term and short term capital gains. How are they taxed?

5. Mention any eight examples of Income from other sources.

6. In what circumstances is the income of one person treated as income of another?

7. What is meant by deductions from total income? Explain any eight of such deductions.

8. Explain the method of computation of tax rebate in relation to the assessment of an individual assessee.

SECTION B — (4 × 15 = 60 marks)

Answer any FOUR questions.

All questions carry equal marks.

9. "The incidence of income tax depends upon the residential status of an assessee". Discuss.

10. Explain the different types of provident funds and its tax treatment.

11. Enumerate the incomes from house property which are wholly exempt from Tax.

12. Explain the provisions regarding 'set off' and 'carry forward and set off' of losses.

13. What do you mean by company in which public are substantially interested? Describe the concessions that the are available to such companies under the Income Tax Act 1961.

14. From the following Profit and Loss A/C of M/s ABC firm, calculate the income under the head 'Profit and gains of business of profession'

		Rs.			Rs.
To	General Expenses	5,000	By	Gross profit	40,000
"	Fire Insurance premium	1,000	"	Bad debts recovered disallowed earlier	4,000
"	Bad debts	1,000	"	Interest from Govt. securities	4,000
"	Salaries	5,000			
"	Advertisement	2,250			

		Rs.		Rs.
"	Proprietor's salary	2,500		
"	Interest on Capital	2,000		
"	Income Tax	1,000		
"	Depreciation	2,000		
"	Sales Tax	5,000		
"	Advance Income Tax Paid	1,000		
"	Donations	500		
"	Motor car expenses	750		
"	Net Profit	19,000		
		48,000		48,000

Adjustment :

(a) General expenses include Rs. 440 paid as compensation to an old employee whose services were terminated in the interest of the business, and Rs. 200 by way of help to a poor student.

(b) Allowable depreciation Rs. 2,900.

(c) 50% of the motor car expenses are for proprietor's personal use.

(d) Sales tax includes Rs. 500 as penalty for evading sales tax.

15. X & Co, a partnership firm assessed as such furnishes the following P & L A/C for the previous year ending 31st March 2011 :

		Rs.			Rs.
To	Cost of goods	2,80,000	By	Sales	2,92,000
	Other expenses	91,000		Net Loss	1,72,000
	Interest to partners	25,000			
	Remuneration to partners	68,000			
		4,64,000			4,64,000

The other expenses debited include Rs. 13,600 not allowable U/S 37(i) of the Act. Interest to partners is in excess by Rs. 7,100.

You are required to compute for the Assessment year 2011–2012.

(a) Book profits of the firm.

(b) Permissible remuneration to partners U/S 40 (b).

(c) The income of the firm.

(d) Remuneration and Interest is paid as per the deed.